

CHAROTAR UNIVERSITY OF SCIENCE AND TECHNOLOGY (CHARUSAT)
FACULTY OF MANAGEMENT STUDIES (FMS)
BBA PROGRAMME
SEMESTER – III –UNIVERSITY EXAMINATION, MARCH 2018
BM202 FINANCIAL MANAGEMENT – 1 (OLD)
BM202.1 FINANCIAL MANAGEMENT – 1 (NEW)

Date: 27/03/2018, Tuesday

Time: 01.30 PM to 02.00 PM

Total Marks: 15

Student's ID No.									
Student's Name: _____									
Student's Sign : _____									
Supervisor's Name : _____									
Supervisor's Sign: _____									

Important Instructions:

- All questions are compulsory.
- This is a closed book examination.
- There are two sections in the question paper. Section – I contains Q. No.: 1 which is of 15 marks and Section – II contains total five questions wherein Q. No.: 2 to 5 are of 10 marks each and Q. 6 is a Case study of 15 marks.
- Section – I should be answered in the given question paper and Section – II should be answered in a separate answer book.
- Maximum time allotted for Section – I is 30 minutes. Answer Book for Section – II will be given when the Question Paper for Section – I is returned. However, candidates who complete Section – I earlier than 30 minutes, can collect Answer Book for Section – II immediately after handing over Section – I question paper.
- Figures on the right indicate marks for each question.

SECTION – I

Q.1 Objective Type Questions:

15

A) Match the following: (i – vi)

06

Q. No.:		Probable Answer Keys		Write Your Answer Here
i.	Equity capital	a)	Follow on public offering	i. –
ii.	Initial public offering	b)	Current Liability	ii. -
iii.	Net working capital	c)	Voting right	iii. –
iv.	Short term loan	d)	Difference between current assets and current liability	iv. –
v.	Gross working capital	e)	Fixed interest cost	v. –
vi.	Account receivables	f)	Fund raising	vi. –
		g)	Short term asset	
		h)	Total current assets	
		i)	Issued by Corporates	
		j)	Investment decision	

B) Multiple-Choice Questions (vii – ix) (Note: Encircle the correct answer)

03

- vii.** _____ of an equity share is the value stated in the memorandum and written on the share scrip.

- a) Market value
- b) issue price
- c) Book value
- d) Par value

viii. Which of the following is not a cost of a public issue?

- a) Underwriting expenses
- b) Listing fee
- c) Brokerage expenses
- d) None of these

ix. The _____ factor/s affects the working capital needs of company.

- a) Nature of business
- b) Seasonality of operation
- c) Market condition
- d) All of these

C) Fill-in the Blanks (x – xii) You may choose from the following answers:

03

Debt capital	Equity capital	Preference capital	Internal accruals	Cost of debt	Cost of equity
-----------------	-------------------	-----------------------	----------------------	-----------------	-------------------

x. _____ enjoys the rewards as well as bear the risk of ownership.

xi. _____ is the hybrid form of financing that has certain characteristics of equity and certain attributes of debentures.

xii. _____ is the capital that a business raises by taking out a loan

D) True or False (xiii – xv) (Note: Encircle the correct answer)

03

xiii. Generally cost of the debt is higher than cost of equity (True) or (False)

xiv. Depreciation is a tax deductible expense (True) or (False)

xv. The shortage cost of current assets increase with increase in the level of current assets. (True) or (False)

CHAROTAR UNIVERSITY OF SCIENCE AND TECHNOLOGY (CHARUSAT)
FACULTY OF MANAGEMENT STUDIES (FMS)
BBA PROGRAMME
SEMESTER – III –UNIVERSITY EXAMINATION, MARCH 2018
BM202 FINANCIAL MANAGEMENT - 1 (OLD)
BM202.1 FINANCIAL MANAGEMENT – 1 (NEW)

Date: 27/03/2018, Tuesday

Time: 02.00 PM to 04.30 PM

Total Marks: 55

Note: - (i) All questions are compulsory.

(ii) This is a closed book examination.

(iii) There are two sections in the question paper. **Section – I** contains Q. No.: 1 of 15 marks and **Section – II** contains total five questions where in Q. No.: 2 to 5 are of 10 marks each and Q. 6 is a Case study of 15 marks.

(iv) **Section – I** should be answered in the given question paper and **Section – II** should be answered in a separate answer book.

(v) Maximum time allotted for **Section – II** is 150 minutes.

(vi) Figures on the right indicate marks for each question.

SECTION – II

- | | | |
|-----------|---|----|
| Q.2 | Discuss the emerging role of the financial manager in India. Why the job of financial manager has become more important, complex and demanding? | 10 |
| OR | | |
| Q.2 | A company Amar limited has selected to finance its long term requirement through internal accruals over debt and equity. What are the advantages of using internal accruals over debt/equity? (<i>Mention any five advantages</i>) | 10 |
| Q.3 | Answer the following questions | 10 |
| A) | Give any five sources of finance (Any of long term or short term). Give any five advantages and disadvantages of equity capital. | 05 |
| B) | Give any five factors affecting working capital requirements. And explain how it effects on working capital requirements. | 05 |
| Q.4 | A) Calculate the cost of equity if, expected return on market is 14%, risk free rate is 10% and beta of the security is 1. | 05 |
| | B) Calculate weighted average cost of capital if cost of debt is 10 percent and cost of equity is 18 percent. While debt to equity ratio is 1:1. Tax rate applied is 35 percent. | 05 |
| OR | | |
| Q.4 | A) Explain degree of financial leverage with an appropriate example. | 05 |
| | B) A company Valiya limited has revenues of Rs. 500,000. (Rs. 500 units are sold at Rs. 1,000 per unit). Its variable costs are Rs. 500 per unit and its fixed operating costs are Rs. 200,000. The financial profile of company at two levels of sales viz. 500 units (the current level) and 600 units (a level 20 percent higher than the current level). What is the impact on EBIT of the company? What are the reasons behind it explain. | 05 |
| Q.5 | A) Draw diagram of operating cycle and cash cycle and explain the same. | 05 |
| | B) How change in level of current assets impacts on carrying cost, shortage cost and total cost? Show with the help of diagram. | 05 |

TATA Steel Limited is a Indian diversified steel producer. The Company is engaged in the business of steel making, including raw material and finishing operations. The Company's segments are Steel and Others. Its operations predominantly relate to manufacture of steel. Its brands include Tata Structura, TISCON, Tata Shaktee, Tata Astrum and Tata Steelium. Financial performance of the company is as given below,

	(Amount in Rs. crore)	
Particulars	2017	2016
Revenue	53260.93	38210.34
Other income	414.46	3890.70
Total income	53675.42	42101.04
Expenditure	-44776.94	-32581.14
Interest expense	-2688.55	-1460.27
PBDT	8898.48	8059.63
Depreciation	-3541.55	-1933.11
PBT	5356.93	6126.52
Tax	-1912.38	-1225.57
Net profit	3444.55	4900.95
Equity	971.41	971.41
EPS	33.67	48.67

(Source: BSE India limited)

- A)** Compare the profit and loss account of the company of Tata Steel for year 2016 and 2017. Infer the changes in it with help of common sized statement for the years. **05**
- B)** Calculate the following ratios for Tata Steel, **05**
- Net profit margin ratio for year ended 2017
 - Operating profit margin ratio for year ended 2017
- C)** Comment on the overall performance of company Tata Steel in year 2016 and 2017. **05**